

TENTATIVE RULING FOR SEPTEMBER 15, 2026

Department R12 - Judge Kory Mathewson

Vahe Estepanian v. Karen Abbott Properties, LLC, et al – CIVRS2601086

Motion: (1) Demurrer; (2) Motion to Strike Portions of the First Amended Complaint (FAC)

Movant: Defendants Karen Abbott Properties, LLC and Martin Holiday

Respondent: Plaintiff Vahe Estepanian

Ruling: (1) Demurrer is OVERRULED to 1st, 2nd, 3rd (on uncertainty grounds only), 4th, 6th COAs, but SUSTAINED to the 3rd and 6th COAs for failure to state a cause of actions, With Leave to Amend within 30 days.
(2) Motion to Strike is GRANTED as to paragraph 85 of the FAC, MOOT as to paragraph 7 of the Prayer, and DENIED as to paragraph 8 of the prayer.

Defendants to provide Order and give notice.

(1) DEMURRER

Defendants demur under Code of Civil Procedure section 430.10, subdivision (e), to each of the six causes of action on the ground that the First Amended Complaint (FAC) fails to state facts sufficient to constitute a cause of action. Defendants additionally demur to the third cause of action for fraudulent concealment under section 430.10, subdivision (f), on the ground of uncertainty.

Defendants satisfied the meet and confer requirement. (Denning Decl. ¶¶ 5-7; Sale Decl. ¶ 8). Separately, the Court grants Defendants' request judicial notice of the original verified complaint, the summons, the first amended verified complaint, and the proof of service of the summons and FAC as to the existence and contents of those Court records (Evid. Code, § 452, subd. (d)), but not to the truth of reasonably disputed factual assertions contained in the pleadings.

1st COA – Breach of Implied Warranty of Habitability

The FAC sufficiently alleges the elements of warranty of habitability at the pleading stage. Plaintiff alleges an active structural termite infestation, visible frass and an exit hole through interior drywall, and a January 12, 2026 Terminix inspection confirming that whole structure tenting was required and spot treatment would be inadequate. He further alleges the infestation was consistent with a condition developing over approximately 18 to 24 months. (FAC ¶¶ 28–33.) Plaintiff alleges Defendants knew of the infestation before the tenancy, failed to disclose it, received notice from Plaintiff, including a January 23, 2026 written demand, and failed to restore the premises to a habitable condition. (FAC ¶¶ 34–36, 45–49, 65–68.)

Defendants principally argue Plaintiff waited too long to provide notice and then afforded them only nine days between the January 23 demand and his February 1 departure. But the FAC alleges only that Plaintiff discovered the infestation “[a]fter taking possession”; it does not allege when that discovery occurred. (FAC ¶ 28.) Therefore, it cannot conclude from the face of the pleading that notice was untimely.

Nor does the nine day period establish that Defendants lacked a reasonable opportunity to cure. The FAC alleges the condition required whole-structure tenting and that Defendants had knowledge of the infestation before leasing the premises. (FAC ¶¶ 32, 34–35, 63–67.) *Erlach* further notes that *Knight v. Hallsthammar* (1981) 29 Cal.3d 46 disapproved the proposition that a landlord with preexisting notice must be afforded additional time to repair after receiving notice from the tenant. (*Erlach, supra*, 226 Cal.App.4th at p. 1297, fn. 8.)

Whether Defendants in fact had prior knowledge, when Plaintiff discovered the condition, and whether the opportunity to repair was reasonable are factual matters not properly resolved on demurrer.

Defendants’ reliance on Civil Code section 1942 does not compel a different result. The statute creates a rebuttable presumption that 30 days is a reasonable time for purposes of the repair and deduct remedy; it does not establish a minimum cure period governing every affirmative habitability claim.

Therefore, the demurrer to the first cause of action is overruled.

2nd COA – Negligence

Defendants argue the negligence claim duplicates the habitability claim, alleges no duty independent of the lease, and seeks only economic damages barred by the economic loss rule. They rely on *Erlich v. Menezes* (1999) 21 Cal.4th 543, 551–552 (*Erlich*), *Aas v. Superior Court* (2000) 24 Cal.4th 627, 643 (*Aas*), and *Sheen v. Wells Fargo Bank, N.A.* (2022) 12 Cal.5th 905, 922–923.

Plaintiff responds that Defendants owed duties arising independently from their ownership and control of the premises and relies principally on Civil Code section 1714, and *Stoiber v. Honeychuck* (1980) 101 Cal.App.3d 903 (*Stoiber*).

California authority concerning residential landlords weighs against sustaining the demurrer. In *Stoiber*, the Court recognized that a landlord’s failure to maintain residential premises may support tort liability independent of contractual remedies. (*Stoiber, supra*, 101 Cal.App.3d at pp. 918–920.) *Erlach, supra*, 226 Cal.App.4th at pp. 1298–1299, likewise relied on *Stoiber* and concluded that injury to a tenant’s right to habitable premises constitutes injury to a tenancy interest, “which is a species of property,” and may support liability under negligence principles.

Here, the FAC alleges duties arising from Defendants’ ownership, inspection, maintenance, management, and control of the premises, including duties to discover and correct dangerous conditions. (FAC ¶¶ 70–72.) It further alleges loss of use and enjoyment, in addition to rent, relocation, moving, inspection, and deposit related losses. (FAC ¶ 75.)

Although Defendants rely on *Aas* and *Sheen* to invoke the economic loss rule, those authorities do not establish at the pleading stage that the negligence claim is barred notwithstanding the landlord-tenant duties recognized in *Stoiber* and *Erlach*.

Therefore, the demurrer to the second cause of action is overruled.

3rd COA – Fraudulent Concealment

Defendants argue the FAC fails to allege facts showing either Defendant had actual knowledge of the termite infestation before Plaintiff entered the lease and further fails to plead fraud with the required particularity. Plaintiff responds that concealment does not require the same specificity applicable to an affirmative misrepresentation and that Defendants' knowledge may be inferred from the long standing nature of the infestation, its manifestations through the interior walls, and Defendants' ownership, inspection, maintenance, and management of the property.

Here, the FAC alleges on information and belief that Defendants had actual knowledge of the infestation before the tenancy because the infestation was long standing and structural, because of the condition of the interior walls, and because of information allegedly available to Defendants through their ownership, inspection, maintenance, management, and leasing of the property. (FAC ¶¶ 34–35, 77–80.) These allegations support an inference that the infestation predated Plaintiff's tenancy, but they do not sufficiently allege facts showing that either Defendant actually knew of the infestation before the lease was executed. Because Plaintiff's asserted duty to disclose is based on Defendants' alleged exclusive or superior knowledge of the infestation (FAC ¶ 79), the same deficiency also leaves the duty element inadequately alleged.

Defendants also specially demur, arguing the claim is uncertain because the FAC pleads against "Defendants" collectively and does not identify who concealed what, when, or how. Although the FAC does not sufficiently allege facts establishing each Defendant's actual prelease knowledge, it identifies the allegedly concealed condition, the leasing transaction, the alleged nondisclosure, Plaintiff's reliance, and resulting damages. The claim is therefore sufficiently comprehensible to permit a response. Thus, the demurrer is overruled on uncertainty grounds.

The defect, however, appears curable. Plaintiff's counsel represents that Plaintiff can allege the role of each Defendant, the source of each Defendant's prelease knowledge, prior inspection or pest-control information, and facts separately attributing knowledge and nondisclosure to each Defendant. (Sale Decl. ¶ 11(b).)

Accordingly, the demurrer is sustained for failure to adequately state a cause of action, with leave to amend, and overruled on grounds of uncertainty (in that the alleged concealed condition is identified).

4th COA – Constructive Eviction

The FAC alleges a substantial structural infestation, notice, failure to restore the property to a habitable condition, and Plaintiff's departure because of that unresolved condition within what he alleges was a reasonable time. (FAC ¶¶ 87-94.) Those allegations sufficiently state the claim.

Defendants rely on Plaintiff's continued occupancy and payment of rent through December 2025. However, as discussed above, the FAC does not allege when Plaintiff first discovered the infestation. Thus, the duration of Plaintiff's occupancy does not establish on the face of the FAC that he failed to vacate within a reasonable time after discovering the alleged condition. Nor does the January 12, 2026, communication establish a contrary result on demurrer. The FAC

acknowledges a proposed arrangement under which Plaintiff would pay January rent, surrender by February 1, and forfeit his deposit, but expressly alleges that the proposal was conditional and that Plaintiff did not accept, perform, or consummate it. (FAC ¶¶ 40-44.) Whether an agreement was actually formed or performed cannot be decided by accepting Defendants' characterization of that communication over the contrary allegations of the operative pleading.

Likewise, the fact that Plaintiff ultimately departed on the February 1 date referenced in the proposal establish that his departure resulted from the proposal rather than the alleged habitability condition cannot be determined on demurrer. Causation and whether Plaintiff vacated within a reasonable time are factual questions on the allegations presented.

Therefore, the demurrer to the fourth cause of action for constructive eviction is overruled.

Fifth Cause of Action – Civil Code Section 1950.5

To state a claim for wrongful retention of a residential security deposit under Civil Code section 1950.5, a plaintiff must allege that: (1) the plaintiff paid a security deposit; (2) the deposit concerned residential property; (3) the plaintiff used the property as a dwelling; and (4) the amounts deducted were not reasonably necessary. (*Peviani v. Arbors at California Oaks Property Owner, LLC* (2021) 62 Cal.App.5th 874, 899 (*Peviani*)). If statutory damages are sought under section 1950.5, subdivision (m), the plaintiff must also establish that the landlord claimed or retained the security deposit in bad faith. (*Ibid.*) The landlord bears the burden of proving the reasonableness of any amounts claimed or deducted. (Civ. Code, § 1950.5, subd. (l).)

Plaintiff alleges that Plaintiff paid \$5,100 in deposits in connection with the residential tenancy. (FAC ¶¶ 23, 96.) Defendants asserted that at least \$4,600 for January 2026 rent would be deducted from the deposit and reserved the right to make additional deductions for damage, cleaning, and disposal costs. (FAC ¶¶ 50–52, 100.) Plaintiff further alleges that Defendants wrongfully withheld all or part of the deposit without lawful basis and acted in bad faith. (FAC ¶¶ 99, 101–106.)

The FAC, however, does not allege what deductions Defendants ultimately made, the amount of the deposit actually retained or returned, what itemized accounting or supporting documentation was ultimately provided, or why the deductions actually taken were not reasonably necessary. Instead, the FAC principally alleges what Defendants stated they intended to deduct in their February 3, 2026 notice. (FAC ¶¶ 50–52, 100, 104.) Thus, although the first three *Peviani* elements are adequately alleged, the FAC does not sufficiently plead the fourth element based on the ultimate disposition of the deposit.

There is an additional timing issue. Plaintiff alleges he vacated by February 1, 2026, and Civil Code section 1950.5 gave Defendants 21 days thereafter to provide the required accounting and return any remaining balance. (FAC ¶¶ 49, 97.) Plaintiff commenced this action on February 5, 2026, before expiration of that statutory period. Plaintiff acknowledges this point and represents that the security-deposit controversy developed after he vacated and before the FAC was filed. (Sale Decl. ¶ 12.) Plaintiff further represents that he can allege the date possession terminated, the date keys were returned, each accounting and refund received, the precise amount retained, any itemization or documentation defects, and facts supporting bad faith. (Sale Decl. ¶ 11(e).)

Consequently, the claim is insufficiently alleged as presently framed, but the defect appears curable. The demurrer is sustained to the fifth cause of action, with leave to amend.

Sixth Cause of Action – Unfair Competition

The UCL's unlawful prong "borrows" violations of other laws and makes them independently actionable as unfair competition. (*Cel-Tech Communications, Inc. v. Los Angeles Cellular Telephone Co.* (1999) 20 Cal.4th 163, 180.)

Because the habitability claim survives, the UCL claim does not fail merely because the Court sustains the demurrer to other asserted predicates. The FAC also alleges that Defendants were engaged in the business of leasing residential property and that Plaintiff lost money in the form of rent and deposit funds as a result of the alleged practices. (FAC ¶¶ 107-113.) That sufficiently alleges economic injury for standing purposes.

Defendants' challenge to restitution of rent concerns the scope of available relief rather than whether the FAC states a UCL cause of action. That issue is addressed separately in connection with Defendants' motion to strike. Accordingly, the demurrer to the sixth cause of action is overruled.

Sham Pleading Argument

Defendants also invoke the sham pleading doctrine based on several changes between the original verified complaint and the FAC. They contend Plaintiff: (1) omitted from the original complaint the January 12, 2026 early termination proposal, but now characterizes it as conditional and unconsummated; (2) deleted allegations that a neighboring residence and barking dog materially interfered with his use and enjoyment of the premises; and (3) abandoned allegations and a cause of action based on an allegedly concealed municipal investigation or permit concerning the legality of the tenancy. Defendants argue these changes undermine the constructive eviction, fraudulent concealment, and security deposit claims.

A Court may consider allegations in a superseded verified complaint where an amended pleading omits or contradicts damaging factual admissions without adequate explanation. (*Owens v. Kings Supermarket* (1988) 198 Cal.App.3d 379, 384.) However, the doctrine does not prevent a plaintiff from abandoning legal theories or amending allegations where the later pleading does not directly contradict an earlier factual admission. (*Deveny v. Entropin, Inc.* (2006) 139 Cal.App.4th 408, 425–426.)

The identified changes do not warrant sustaining the demurrer on sham pleading grounds. The FAC acknowledges the January 12 proposal and alleges it was conditional and never consummated. (FAC ¶¶ 40–44.) That characterization is not inherently inconsistent with the earlier allegation that Plaintiff was constructively evicted. Likewise, the omission of the neighboring residence and barking dog allegations does not contradict the present allegation that the termite condition substantially contributed to Plaintiff's departure; more than one condition could have interfered with his use and enjoyment of the premises. Finally, Plaintiff's abandonment of the unlawful leasing theory based on an allegedly concealed municipal investigation or permit does not contradict the FAC's separate allegation that Defendants concealed a preexisting termite

infestation. It reflects the abandonment of a different factual and legal theory, rather than an admission negating the present concealment claim.

Plaintiff's counsel further declares that Plaintiff obtained additional information after filing the original complaint and elected to narrow the amended pleading to the claims he intended to pursue. (Sale Decl. ¶ 5.) Although that explanation is general, the changes identified by Defendants do not establish the type of direct factual contradiction necessary to disregard the FAC's allegations at the pleading stage.

(2) MOTION TO STRIKE

Defendants move to strike three portions of the FAC: (1) the phrase "and carried out in conscious disregard of Plaintiff's rights" from paragraph 85; (2) paragraph 7 of the Prayer seeking statutory damages under Civil Code section 1950.5; and (3) the words "rent and" from paragraph 8 of the Prayer seeking UCL restitution.

Paragraph 85 – "and carried out in conscious disregard of Plaintiff's rights."

Plaintiff does not oppose striking the conscious disregard phrase, provided the ruling is limited to that language. Accordingly, the motion as to the phrase "and carried out in conscious disregard of Plaintiff's rights" from paragraph 85, is granted because the FAC does not presently seek punitive damages.

Prayer Paragraph 7 – Statutory Damages Under Civil Code Section 1950.5

In light of the ruling sustaining the demurrer to the fifth cause of action, the motion to strike is moot.

Prayer Paragraph 8 – "Rent and"

The prayer seeks restitution of "rent and deposit amounts to the extent permitted by law and equity." Defendants contend that because Plaintiff occupied the property, rent can never be restitutionary. The position is too categorical.

UCL restitution generally restores money or property in which the plaintiff had a vested interest. (*Korea Supply Co. v. Lockheed Martin Corp.* (2003) 29 Cal.4th 1134, 1148-1149; *Cortez v. Purolator Air Filtration Products Co.* (2000) 23 Cal.4th 163, 177-178.) Where the plaintiff received some value, restitution may be measured by the difference between what was paid and the value actually received. (*In re Tobacco Cases II* (2015) 240 Cal.App.4th 779, 791.)

Thus, Plaintiff's occupancy of the premises does not establish, at the pleading stage, that no portion of the rent could constitute restitution; rather, the value of the occupancy received bears on the amount of any restitutionary recovery. The prayer is also expressly limited to amounts permitted by law and equity. Accordingly, the motion to strike the words "rent and" from paragraph 8 of the prayer for relief is denied.

Dated: September 15, 2026

Judge Kory Mathewson